IB Economics - Topic 3.2: Teacher and AI Grading Guide

Aggregate Demand and Aggregate Supply | Questions 1-50

Scope and assessment status

Each original paired question has (a) 10 marks and (b) 15 marks. All 50 questions cover SL and HL content. Difficulty: 10 Easy, 25 Medium, 15 Hard pairs, distributed through the bank. Level and difficulty are independent.

AD components and determinants, SRAS costs, alternative LRAS/Keynesian AS models, short-run equilibrium, output gaps and contrasting adjustment mechanisms. All shared SL/HL.

The uploaded Economics for the IB Diploma textbook (second edition, 2012) was used for underlying explanations and terminology. Its older syllabus sequence does not set the limits of this current Topic 3.2.

These are original adapted Paper 1-style practice questions, not official IB examination or marking material. The question bank revisits syllabus mechanisms through distinct explanatory and evaluative tasks; the pairs are alternatives for practice, not separate official learning outcomes.

Coverage blueprint

AD components: 7 pairs

Investment: 5 pairs

Government net exports: 6 pairs

SRAS: 6 pairs

Long run supply: 6 pairs

Equilibrium: 5 pairs

Keynesian AS: 5 pairs

Model comparison: 10 pairs

Marking principles

Use best-fit assessment for each part, not a fixed marks-per-keyword checklist. Credit accurate alternatives addressing the task. Do not require every example or qualification below.

Part (a): 10 marks

Practice bands: 0; 1-2 limited; 3-4 mainly descriptive; 5-6 partial explanation; 7-8 clear and accurate causal analysis; 9-10 fully developed explanation with any required diagram or calculation. These abbreviated bands are not official IB descriptors.

Part (b): 15 marks

Practice bands: 0; 1-3 very limited; 4-6 superficial; 7-9 developed but weakly balanced; 10-12 balanced analysis and evaluation; 13-15 sustained, applied evaluation and supported judgment. A named case alone is not developed application.

Diagram and AI grading

Require diagrams when expressly requested and accept an economically equivalent correctly labelled representation. Verify axes, initial and final equilibria and the stated causal shift. In numerical questions, verify method, units and interpretation; allow correct alternative calculations. Do not award a correct final number after an invalid method without examining the work.

Record separate marks for (a) and (b), band evidence, diagram or numerical features if relevant, economic misconceptions, quality of real-world application, and one actionable improvement per part. If a student drawing is unclear, flag the uncertainty rather than assuming correctness.

Question 1

Easy | SL/HL | 25 marks

Topic 3.2: AD components

(a) [10] Explain why aggregate demand is the sum of consumption, investment, government spending and net exports.

(b) [15] Using real-world examples, discuss whether consumption is always the most important influence on aggregate demand.

Part (a) - Indicative answer and marking guidance

Essential concepts. Aggregate demand is C+I+G+(X-M); a determinant changes planned expenditure at each price level and shifts AD.

Required reasoning. AD=C+I+G+(X-M); the weight and volatility of components differ across economies.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes ad components from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. AD=C+I+G+(X-M); the weight and volatility of components differ across economies.

Counterargument and conditions. The real-output response depends on AS slope, import leakage and other spending components.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 2

Medium | SL/HL | 25 marks

Topic 3.2: AD components

(a) [10] Using an AD diagram, explain why the aggregate quantity of real output demanded falls as the price level rises.

(b) [15] Using real-world examples, evaluate whether a lower price level is sufficient to raise actual output.

Part (a) - Indicative answer and marking guidance

Essential concepts. Aggregate demand is C+I+G+(X-M); a determinant changes planned expenditure at each price level and shifts AD.

Required reasoning. A movement along AD follows the price level; actual output depends on AS, expectations and capacity.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes ad components from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. A movement along AD follows the price level; actual output depends on AS, expectations and capacity.

Counterargument and conditions. The real-output response depends on AS slope, import leakage and other spending components.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 3

Hard | SL/HL | 25 marks

Topic 3.2: AD components

(a) [10] Explain why a change in consumer confidence can shift the aggregate demand curve.

(b) [15] Using real-world examples, discuss whether improved consumer confidence necessarily increases real output.

Part (a) - Indicative answer and marking guidance

Essential concepts. Aggregate demand is C+I+G+(X-M); a determinant changes planned expenditure at each price level and shifts AD.

Required reasoning. Confidence changes intended consumption at each price level; AS slope controls price-output split.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes ad components from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Confidence changes intended consumption at each price level; AS slope controls price-output split.

Counterargument and conditions. The real-output response depends on AS slope, import leakage and other spending components.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 4

Medium | SL/HL | 25 marks

Topic 3.2: AD components

(a) [10] Explain how a rise in household wealth can affect consumption and aggregate demand.

(b) [15] Using real-world examples, evaluate whether asset price gains reliably stimulate national output.

Part (a) - Indicative answer and marking guidance

Essential concepts. Aggregate demand is C+I+G+(X-M); a determinant changes planned expenditure at each price level and shifts AD.

Required reasoning. Wealth may lift spending but distribution, liquidity and saving behaviour determine the effect.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes ad components from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Wealth may lift spending but distribution, liquidity and saving behaviour determine the effect.

Counterargument and conditions. The real-output response depends on AS slope, import leakage and other spending components.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 5

Medium | SL/HL | 25 marks

Topic 3.2: AD components

(a) [10] Explain how high household debt can affect consumption and aggregate demand.

(b) [15] Using real-world examples, discuss whether debt repayment always reduces economic activity.

Part (a) - Indicative answer and marking guidance

Essential concepts. Aggregate demand is C+I+G+(X-M); a determinant changes planned expenditure at each price level and shifts AD.

Required reasoning. Debt servicing constrains spending, though refinancing and other AD components may offset it.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes ad components from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Debt servicing constrains spending, though refinancing and other AD components may offset it.

Counterargument and conditions. The real-output response depends on AS slope, import leakage and other spending components.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 6

Easy | SL/HL | 25 marks

Topic 3.2: AD components

(a) [10] Explain how income-tax changes can shift the aggregate demand curve through consumption.

(b) [15] Using real-world examples, evaluate whether lower income taxes necessarily produce a large rise in AD.

Part (a) - Indicative answer and marking guidance

Essential concepts. Aggregate demand is C+I+G+(X-M); a determinant changes planned expenditure at each price level and shifts AD.

Required reasoning. Disposable income influences C; marginal spending propensities and expectations condition the shift.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes ad components from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Disposable income influences C; marginal spending propensities and expectations condition the shift.

Counterargument and conditions. The real-output response depends on AS slope, import leakage and other spending components.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 7

Hard | SL/HL | 25 marks

Topic 3.2: AD components

(a) [10] Explain how expectations of future prices may influence current consumption.

(b) [15] Using real-world examples, discuss whether expected inflation necessarily raises current aggregate demand.

Part (a) - Indicative answer and marking guidance

Essential concepts. Aggregate demand is C+I+G+(X-M); a determinant changes planned expenditure at each price level and shifts AD.

Required reasoning. Households may bring purchases forward, but real-income concerns and uncertainty can counteract this.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes ad components from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Households may bring purchases forward, but real-income concerns and uncertainty can counteract this.

Counterargument and conditions. The real-output response depends on AS slope, import leakage and other spending components.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 8

Medium | SL/HL | 25 marks

Topic 3.2: Investment

(a) [10] Explain how lower interest rates can affect investment and aggregate demand.

(b) [15] Using real-world examples, evaluate whether cheap borrowing alone is sufficient to raise investment.

Part (a) - Indicative answer and marking guidance

Essential concepts. Business investment is a component of AD, sensitive to expected returns, interest rates, technology, taxes and indebtedness.

Required reasoning. Financing costs fall, but expected returns and confidence can dominate firms' plans.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes investment from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Financing costs fall, but expected returns and confidence can dominate firms' plans.

Counterargument and conditions. Expected sales and financing constraints may outweigh a favourable interest rate.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 9

Hard | SL/HL | 25 marks

Topic 3.2: Investment

(a) [10] Explain why business confidence can cause investment to change even if interest rates do not.

(b) [15] Using real-world examples, discuss whether optimism always translates into higher real output.

Part (a) - Indicative answer and marking guidance

Essential concepts. Business investment is a component of AD, sensitive to expected returns, interest rates, technology, taxes and indebtedness.

Required reasoning. Expected profits affect I; supply capacity and uncertainty influence the realised output response.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes investment from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Expected profits affect I; supply capacity and uncertainty influence the realised output response.

Counterargument and conditions. Expected sales and financing constraints may outweigh a favourable interest rate.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 10

Medium | SL/HL | 25 marks

Topic 3.2: Investment

(a) [10] Explain how improved technology can influence investment spending and aggregate demand.

(b) [15] Using real-world examples, evaluate whether a technology boom has only demand-side effects.

Part (a) - Indicative answer and marking guidance

Essential concepts. Business investment is a component of AD, sensitive to expected returns, interest rates, technology, taxes and indebtedness.

Required reasoning. Expected returns can increase I and AD; technology may also improve potential output over time.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes investment from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Expected returns can increase I and AD; technology may also improve potential output over time.

Counterargument and conditions. Expected sales and financing constraints may outweigh a favourable interest rate.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 11

Easy | SL/HL | 25 marks

Topic 3.2: Investment

(a) [10] Explain how changes in business taxes can influence planned investment.

(b) [15] Using real-world examples, discuss whether a cut in business taxes necessarily shifts AD substantially.

Part (a) - Indicative answer and marking guidance

Essential concepts. Business investment is a component of AD, sensitive to expected returns, interest rates, technology, taxes and indebtedness.

Required reasoning. After-tax returns can change I; financing and expected demand may limit the response.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes investment from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. After-tax returns can change I; financing and expected demand may limit the response.

Counterargument and conditions. Expected sales and financing constraints may outweigh a favourable interest rate.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 12

Medium | SL/HL | 25 marks

Topic 3.2: Investment

(a) [10] Explain why corporate indebtedness may dampen the response of investment to lower interest rates.

(b) [15] Using real-world examples, evaluate whether heavily indebted firms must always reduce capital spending.

Part (a) - Indicative answer and marking guidance

Essential concepts. Business investment is a component of AD, sensitive to expected returns, interest rates, technology, taxes and indebtedness.

Required reasoning. High leverage raises financing constraints, though profitable opportunities or refinancing may support I.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes investment from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. High leverage raises financing constraints, though profitable opportunities or refinancing may support I.

Counterargument and conditions. Expected sales and financing constraints may outweigh a favourable interest rate.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 13

Hard | SL/HL | 25 marks

Topic 3.2: Government net exports

(a) [10] Explain how a rise in government purchases shifts aggregate demand.

(b) [15] Using real-world examples, evaluate whether public spending always raises real output rather than prices.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government purchases and net exports affect AD; foreign income, exchange rates and trade policy influence X-M.

Required reasoning. G enters AD directly, but the AS position determines output versus price effects.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes government net exports from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. G enters AD directly, but the AS position determines output versus price effects.

Counterargument and conditions. Imported content, exchange rates, retaliatory measures and capacity can offset the initial demand change.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 14

Medium | SL/HL | 25 marks

Topic 3.2: Government net exports

(a) [10] Explain how political priorities can alter the government-spending component of AD.

(b) [15] Using real-world examples, discuss whether a change in spending composition leaves total demand unchanged.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government purchases and net exports affect AD; foreign income, exchange rates and trade policy influence X-M.

Required reasoning. An unchanged total G may have different timing, domestic content and induced effects.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes government net exports from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. An unchanged total G may have different timing, domestic content and induced effects.

Counterargument and conditions. Imported content, exchange rates, retaliatory measures and capacity can offset the initial demand change.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 15

Medium | SL/HL | 25 marks

Topic 3.2: Government net exports

(a) [10] Explain how higher trading-partner income can affect net exports and aggregate demand.

(b) [15] Using real-world examples, evaluate whether foreign growth always raises domestic output.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government purchases and net exports affect AD; foreign income, exchange rates and trade policy influence X-M.

Required reasoning. Foreign demand may lift X, but import content, capacity and competitiveness matter.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes government net exports from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Foreign demand may lift X, but import content, capacity and competitiveness matter.

Counterargument and conditions. Imported content, exchange rates, retaliatory measures and capacity can offset the initial demand change.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 16

Easy | SL/HL | 25 marks

Topic 3.2: Government net exports

(a) [10] Explain how a depreciation may affect net exports and aggregate demand.

(b) [15] Using real-world examples, discuss whether a weaker currency necessarily improves domestic economic activity.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government purchases and net exports affect AD; foreign income, exchange rates and trade policy influence X-M.

Required reasoning. Relative prices may raise X and lower M with time lags and elasticities; imported costs may also shift SRAS.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes government net exports from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Relative prices may raise X and lower M with time lags and elasticities; imported costs may also shift SRAS.

Counterargument and conditions. Imported content, exchange rates, retaliatory measures and capacity can offset the initial demand change.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 17

Hard | SL/HL | 25 marks

Topic 3.2: Government net exports

(a) [10] Explain how a change in trade policy can shift aggregate demand through net exports.

(b) [15] Using real-world examples, evaluate whether restricting imports necessarily increases real GDP.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government purchases and net exports affect AD; foreign income, exchange rates and trade policy influence X-M.

Required reasoning. Import substitution may boost domestic demand, but retaliation and input costs can offset it.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes government net exports from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Import substitution may boost domestic demand, but retaliation and input costs can offset it.

Counterargument and conditions. Imported content, exchange rates, retaliatory measures and capacity can offset the initial demand change.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 18

Medium | SL/HL | 25 marks

Topic 3.2: Government net exports

(a) [10] Explain why an increase in imports does not always mean aggregate demand has fallen.

(b) [15] Using real-world examples, discuss whether a widening trade deficit necessarily indicates weak domestic demand.

Part (a) - Indicative answer and marking guidance

Essential concepts. Government purchases and net exports affect AD; foreign income, exchange rates and trade policy influence X-M.

Required reasoning. M may grow because strong C or I expands, while the net-export contribution is only one AD component.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes government net exports from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. M may grow because strong C or I expands, while the net-export contribution is only one AD component.

Counterargument and conditions. Imported content, exchange rates, retaliatory measures and capacity can offset the initial demand change.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 19

Hard | SL/HL | 25 marks

Topic 3.2: SRAS

(a) [10] Using an AD/AS diagram, explain how rising wages can shift short-run aggregate supply.

(b) [15] Using real-world examples, evaluate whether higher nominal wages necessarily raise the price level.

Part (a) - Indicative answer and marking guidance

Essential concepts. SRAS is the output firms produce at each price level in the short run; factor costs and indirect taxes shift it.

Required reasoning. Higher unit labour costs shift SRAS left, depending on productivity and firms' pricing power.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes sras from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Higher unit labour costs shift SRAS left, depending on productivity and firms' pricing power.

Counterargument and conditions. Productivity, pass-through and whether the cost shock persists determine the scale of price and output effects.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 20

Medium | SL/HL | 25 marks

Topic 3.2: SRAS

(a) [10] Using an AD/AS diagram, explain how a rise in energy costs can affect the price level and real output.

(b) [15] Using real-world examples, discuss whether an energy shock always produces stagflation.

Part (a) - Indicative answer and marking guidance

Essential concepts. SRAS is the output firms produce at each price level in the short run; factor costs and indirect taxes shift it.

Required reasoning. A leftward SRAS shift raises prices and lowers output in the basic model, but pass-through and policy affect magnitudes.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes sras from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. A leftward SRAS shift raises prices and lowers output in the basic model, but pass-through and policy affect magnitudes.

Counterargument and conditions. Productivity, pass-through and whether the cost shock persists determine the scale of price and output effects.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 21

Easy | SL/HL | 25 marks

Topic 3.2: SRAS

(a) [10] Explain how lower indirect taxes can affect short-run aggregate supply.

(b) [15] Using real-world examples, evaluate whether an indirect-tax reduction always lowers consumer prices.

Part (a) - Indicative answer and marking guidance

Essential concepts. SRAS is the output firms produce at each price level in the short run; factor costs and indirect taxes shift it.

Required reasoning. Lower per-unit costs can shift SRAS right; pass-through depends on market and tax design.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes sras from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower per-unit costs can shift SRAS right; pass-through depends on market and tax design.

Counterargument and conditions. Productivity, pass-through and whether the cost shock persists determine the scale of price and output effects.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 22

Medium | SL/HL | 25 marks

Topic 3.2: SRAS

(a) [10] Explain why a rise in imported input costs can reduce short-run aggregate supply.

(b) [15] Using real-world examples, discuss whether exchange-rate depreciation must reduce output.

Part (a) - Indicative answer and marking guidance

Essential concepts. SRAS is the output firms produce at each price level in the short run; factor costs and indirect taxes shift it.

Required reasoning. Imported inputs increase costs and shift SRAS left; concurrent net-export gains may offset output loss.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes sras from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Imported inputs increase costs and shift SRAS left; concurrent net-export gains may offset output loss.

Counterargument and conditions. Productivity, pass-through and whether the cost shock persists determine the scale of price and output effects.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 23

Hard | SL/HL | 25 marks

Topic 3.2: SRAS

(a) [10] Explain how higher labour productivity can offset a rise in nominal wages in determining SRAS.

(b) [15] Using real-world examples, evaluate whether wage growth must create cost-push inflation.

Part (a) - Indicative answer and marking guidance

Essential concepts. SRAS is the output firms produce at each price level in the short run; factor costs and indirect taxes shift it.

Required reasoning. Unit labour cost depends on wages relative to output per worker; productivity gains can absorb pay rises.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes sras from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Unit labour cost depends on wages relative to output per worker; productivity gains can absorb pay rises.

Counterargument and conditions. Productivity, pass-through and whether the cost shock persists determine the scale of price and output effects.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 24

Medium | SL/HL | 25 marks

Topic 3.2: SRAS

(a) [10] Using an AD/AS diagram, explain the difference between a shift of SRAS and a movement along SRAS.

(b) [15] Using real-world examples, discuss whether observed inflation is sufficient to identify a supply shock.

Part (a) - Indicative answer and marking guidance

Essential concepts. SRAS is the output firms produce at each price level in the short run; factor costs and indirect taxes shift it.

Required reasoning. Input-cost changes shift SRAS; price-level changes associated with AD can cause movement along it.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes sras from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Input-cost changes shift SRAS; price-level changes associated with AD can cause movement along it.

Counterargument and conditions. Productivity, pass-through and whether the cost shock persists determine the scale of price and output effects.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 25

Medium | SL/HL | 25 marks

Topic 3.2: Long run supply

(a) [10] Using an AD/AS diagram, explain how growth in the labour force can shift LRAS.

(b) [15] Using real-world examples, evaluate whether a larger labour force necessarily raises potential output per person.

Part (a) - Indicative answer and marking guidance

Essential concepts. LRAS or Keynesian AS shifts with factor quantity/quality, technology, efficiency and institutions; this changes productive potential.

Required reasoning. Additional labour may raise capacity but capital, skills and employment determine per-person gains.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes long run supply from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Additional labour may raise capacity but capital, skills and employment determine per-person gains.

Counterargument and conditions. An outward capacity shift may leave actual output unchanged if demand is insufficient.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 26

Easy | SL/HL | 25 marks

Topic 3.2: Long run supply

(a) [10] Explain how improvements in human capital can raise the economy's potential output.

(b) [15] Using real-world examples, discuss whether education investment always causes rapid growth.

Part (a) - Indicative answer and marking guidance

Essential concepts. LRAS or Keynesian AS shifts with factor quantity/quality, technology, efficiency and institutions; this changes productive potential.

Required reasoning. Skills may increase productive capacity, subject to quality, matching and time lags.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes long run supply from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Skills may increase productive capacity, subject to quality, matching and time lags.

Counterargument and conditions. An outward capacity shift may leave actual output unchanged if demand is insufficient.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 27

Hard | SL/HL | 25 marks

Topic 3.2: Long run supply

(a) [10] Explain how technological progress can shift LRAS to the right.

(b) [15] Using real-world examples, evaluate whether innovation always translates into higher actual output.

Part (a) - Indicative answer and marking guidance

Essential concepts. LRAS or Keynesian AS shifts with factor quantity/quality, technology, efficiency and institutions; this changes productive potential.

Required reasoning. Technology expands productive potential; demand, diffusion and adoption determine realised gains.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes long run supply from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Technology expands productive potential; demand, diffusion and adoption determine realised gains.

Counterargument and conditions. An outward capacity shift may leave actual output unchanged if demand is insufficient.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 28

Medium | SL/HL | 25 marks

Topic 3.2: Long run supply

(a) [10] Explain how increased capital quantity can affect long-run aggregate supply.

(b) [15] Using real-world examples, discuss whether more physical investment necessarily raises growth sustainably.

Part (a) - Indicative answer and marking guidance

Essential concepts. LRAS or Keynesian AS shifts with factor quantity/quality, technology, efficiency and institutions; this changes productive potential.

Required reasoning. Capital accumulation shifts capacity; efficiency and depreciation determine net gains.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes long run supply from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Capital accumulation shifts capacity; efficiency and depreciation determine net gains.

Counterargument and conditions. An outward capacity shift may leave actual output unchanged if demand is insufficient.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 29

Hard | SL/HL | 25 marks

Topic 3.2: Long run supply

(a) [10] Explain how institutional change may alter long-term aggregate supply.

(b) [15] Using real-world examples, evaluate whether stronger institutions are sufficient for sustained growth.

Part (a) - Indicative answer and marking guidance

Essential concepts. LRAS or Keynesian AS shifts with factor quantity/quality, technology, efficiency and institutions; this changes productive potential.

Required reasoning. Rules and incentives can improve efficiency and investment; implementation and complementary inputs matter.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes long run supply from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Rules and incentives can improve efficiency and investment; implementation and complementary inputs matter.

Counterargument and conditions. An outward capacity shift may leave actual output unchanged if demand is insufficient.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 30

Medium | SL/HL | 25 marks

Topic 3.2: Long run supply

(a) [10] Using an AD/AS diagram, explain how greater efficiency can raise potential output.

(b) [15] Using real-world examples, discuss whether lower production costs always reflect lasting improvements in capacity.

Part (a) - Indicative answer and marking guidance

Essential concepts. LRAS or Keynesian AS shifts with factor quantity/quality, technology, efficiency and institutions; this changes productive potential.

Required reasoning. A lasting productivity gain shifts LRAS or Keynesian AS, unlike a transitory input-price fall.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes long run supply from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. A lasting productivity gain shifts LRAS or Keynesian AS, unlike a transitory input-price fall.

Counterargument and conditions. An outward capacity shift may leave actual output unchanged if demand is insufficient.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 31

Easy | SL/HL | 25 marks

Topic 3.2: Equilibrium

(a) [10] Using an AD/AS diagram, explain how an increase in AD affects short-run equilibrium.

(b) [15] Using real-world examples, evaluate whether stronger demand always raises real output.

Part (a) - Indicative answer and marking guidance

Essential concepts. AD and AS determine price and real output; actual output may differ from potential, creating recessionary or inflationary gaps.

Required reasoning. AD right raises output and prices in short run, with response dependent on AS slope and spare capacity.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes equilibrium from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. AD right raises output and prices in short run, with response dependent on AS slope and spare capacity.

Counterargument and conditions. Estimating potential and the speed of wage-price adjustment are uncertain.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 32

Medium | SL/HL | 25 marks

Topic 3.2: Equilibrium

(a) [10] Using an AD/AS diagram, explain a recessionary gap in the monetarist/new classical model.

(b) [15] Using real-world examples, discuss whether a recessionary gap will close without government action.

Part (a) - Indicative answer and marking guidance

Essential concepts. AD and AS determine price and real output; actual output may differ from potential, creating recessionary or inflationary gaps.

Required reasoning. Short-run equilibrium lies below full-employment output; wage-price flexibility could shift SRAS over time.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes equilibrium from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Short-run equilibrium lies below full-employment output; wage-price flexibility could shift SRAS over time.

Counterargument and conditions. Estimating potential and the speed of wage-price adjustment are uncertain.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 33

Hard | SL/HL | 25 marks

Topic 3.2: Equilibrium

(a) [10] Using an AD/AS diagram, explain an inflationary gap in the monetarist/new classical model.

(b) [15] Using real-world examples, evaluate whether output above potential can persist indefinitely.

Part (a) - Indicative answer and marking guidance

Essential concepts. AD and AS determine price and real output; actual output may differ from potential, creating recessionary or inflationary gaps.

Required reasoning. Excess demand pushes actual output temporarily above potential; input costs tend to rise and SRAS shift left.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes equilibrium from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Excess demand pushes actual output temporarily above potential; input costs tend to rise and SRAS shift left.

Counterargument and conditions. Estimating potential and the speed of wage-price adjustment are uncertain.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 34

Medium | SL/HL | 25 marks

Topic 3.2: Equilibrium

(a) [10] Explain why the natural rate of unemployment is compatible with full-employment output.

(b) [15] Using real-world examples, discuss whether full employment implies zero unemployment.

Part (a) - Indicative answer and marking guidance

Essential concepts. AD and AS determine price and real output; actual output may differ from potential, creating recessionary or inflationary gaps.

Required reasoning. Structural, seasonal and frictional unemployment remain at potential output; cyclical unemployment is absent.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes equilibrium from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Structural, seasonal and frictional unemployment remain at potential output; cyclical unemployment is absent.

Counterargument and conditions. Estimating potential and the speed of wage-price adjustment are uncertain.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 35

Medium | SL/HL | 25 marks

Topic 3.2: Equilibrium

(a) [10] Using an AD/AS diagram, explain how falling wages could close a recessionary gap in a monetarist/new classical model.

(b) [15] Using real-world examples, evaluate whether wage adjustment is likely to be quick enough to avoid prolonged unemployment.

Part (a) - Indicative answer and marking guidance

Essential concepts. AD and AS determine price and real output; actual output may differ from potential, creating recessionary or inflationary gaps.

Required reasoning. Lower costs shift SRAS right toward potential, but wage rigidity and weak demand can delay adjustment.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes equilibrium from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower costs shift SRAS right toward potential, but wage rigidity and weak demand can delay adjustment.

Counterargument and conditions. Estimating potential and the speed of wage-price adjustment are uncertain.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 36

Easy | SL/HL | 25 marks

Topic 3.2: Keynesian AS

(a) [10] Using a Keynesian AS diagram, explain why a rise in AD can increase output with little inflation in deep recession.

(b) [15] Using real-world examples, discuss whether extra demand is always non-inflationary when unemployment is high.

Part (a) - Indicative answer and marking guidance

Essential concepts. The Keynesian AS curve is relatively flat with abundant slack and steep near capacity; weak AD can produce persistent recessionary gaps.

Required reasoning. A flat AS segment implies spare capacity, but bottlenecks and sector mismatches may still raise prices.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes keynesian as from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. A flat AS segment implies spare capacity, but bottlenecks and sector mismatches may still raise prices.

Counterargument and conditions. Sector bottlenecks may cause some inflation even with substantial aggregate slack.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 37

Hard | SL/HL | 25 marks

Topic 3.2: Keynesian AS

(a) [10] Using a Keynesian AS diagram, explain why AD growth near capacity mainly raises prices.

(b) [15] Using real-world examples, evaluate whether demand expansion is an effective way to increase output at full employment.

Part (a) - Indicative answer and marking guidance

Essential concepts. The Keynesian AS curve is relatively flat with abundant slack and steep near capacity; weak AD can produce persistent recessionary gaps.

Required reasoning. On a steep/vertical AS segment output is constrained; demand raises the price level more than real production.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes keynesian as from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. On a steep/vertical AS segment output is constrained; demand raises the price level more than real production.

Counterargument and conditions. Sector bottlenecks may cause some inflation even with substantial aggregate slack.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 38

Medium | SL/HL | 25 marks

Topic 3.2: Keynesian AS

(a) [10] Explain why a Keynesian recessionary-gap equilibrium can persist.

(b) [15] Using real-world examples, discuss whether lower wages alone will reliably restore full employment.

Part (a) - Indicative answer and marking guidance

Essential concepts. The Keynesian AS curve is relatively flat with abundant slack and steep near capacity; weak AD can produce persistent recessionary gaps.

Required reasoning. Weak AD and wage-price rigidity can leave equilibrium below potential without automatic recovery.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes keynesian as from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Weak AD and wage-price rigidity can leave equilibrium below potential without automatic recovery.

Counterargument and conditions. Sector bottlenecks may cause some inflation even with substantial aggregate slack.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 39

Hard | SL/HL | 25 marks

Topic 3.2: Keynesian AS

(a) [10] Using AD/AS diagrams, explain one difference between Keynesian and monetarist/new classical accounts of recovery.

(b) [15] Using real-world examples, evaluate whether the speed of wage adjustment can determine which view fits a recession.

Part (a) - Indicative answer and marking guidance

Essential concepts. The Keynesian AS curve is relatively flat with abundant slack and steep near capacity; weak AD can produce persistent recessionary gaps.

Required reasoning. Classical automatic SRAS adjustment contrasts with a potentially persistent Keynesian shortfall of AD.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes keynesian as from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Classical automatic SRAS adjustment contrasts with a potentially persistent Keynesian shortfall of AD.

Counterargument and conditions. Sector bottlenecks may cause some inflation even with substantial aggregate slack.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 40

Medium | SL/HL | 25 marks

Topic 3.2: Keynesian AS

(a) [10] Explain why the slope of Keynesian aggregate supply changes as output approaches capacity.

(b) [15] Using real-world examples, discuss whether an economy has a single predictable price response to an AD increase.

Part (a) - Indicative answer and marking guidance

Essential concepts. The Keynesian AS curve is relatively flat with abundant slack and steep near capacity; weak AD can produce persistent recessionary gaps.

Required reasoning. Spare inputs initially allow expansion; bottlenecks make marginal costs and prices rise nearer capacity.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes keynesian as from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Spare inputs initially allow expansion; bottlenecks make marginal costs and prices rise nearer capacity.

Counterargument and conditions. Sector bottlenecks may cause some inflation even with substantial aggregate slack.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 41

Easy | SL/HL | 25 marks

Topic 3.2: Model comparison

(a) [10] Using appropriate diagrams, explain how a positive AD shock differs in the Keynesian and monetarist/new classical models.

(b) [15] Using real-world examples, evaluate whether either model predicts the same output and inflation effects in every economy.

Part (a) - Indicative answer and marking guidance

Essential concepts. Monetarist/new classical adjustment restores potential output with wage-price flexibility, whereas Keynesian analysis permits persistent demand shortfall.

Required reasoning. Keynesian effects vary by spare capacity; classical long-run output returns to potential after price adjustment.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes model comparison from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Keynesian effects vary by spare capacity; classical long-run output returns to potential after price adjustment.

Counterargument and conditions. Wage rigidity, time horizon and confidence determine whether automatic recovery is plausible.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 42

Medium | SL/HL | 25 marks

Topic 3.2: Model comparison

(a) [10] Explain how a negative supply shock affects macroeconomic equilibrium in the short run.

(b) [15] Using real-world examples, discuss whether demand stimulus can fully offset a negative supply shock without further inflation.

Part (a) - Indicative answer and marking guidance

Essential concepts. Monetarist/new classical adjustment restores potential output with wage-price flexibility, whereas Keynesian analysis permits persistent demand shortfall.

Required reasoning. SRAS left raises price and lowers output; AD support can restore output but intensify price pressure.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes model comparison from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. SRAS left raises price and lowers output; AD support can restore output but intensify price pressure.

Counterargument and conditions. Wage rigidity, time horizon and confidence determine whether automatic recovery is plausible.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 43

Hard | SL/HL | 25 marks

Topic 3.2: Model comparison

(a) [10] Using AD/AS diagrams, explain how an increase in productive capacity affects the price level and real output.

(b) [15] Using real-world examples, evaluate whether supply growth automatically leads to higher actual output.

Part (a) - Indicative answer and marking guidance

Essential concepts. Monetarist/new classical adjustment restores potential output with wage-price flexibility, whereas Keynesian analysis permits persistent demand shortfall.

Required reasoning. LRAS or Keynesian AS shifts right; realised growth depends on sufficient aggregate demand.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes model comparison from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. LRAS or Keynesian AS shifts right; realised growth depends on sufficient aggregate demand.

Counterargument and conditions. Wage rigidity, time horizon and confidence determine whether automatic recovery is plausible.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 44

Medium | SL/HL | 25 marks

Topic 3.2: Model comparison

(a) [10] Explain why short-run and long-run equilibrium can differ in the monetarist/new classical model.

(b) [15] Using real-world examples, discuss whether a temporary rise in AD can permanently lift real output.

Part (a) - Indicative answer and marking guidance

Essential concepts. Monetarist/new classical adjustment restores potential output with wage-price flexibility, whereas Keynesian analysis permits persistent demand shortfall.

Required reasoning. Sticky prices allow short-run deviation; long-run wage-price adjustment returns output to potential unless capacity changes.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes model comparison from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Sticky prices allow short-run deviation; long-run wage-price adjustment returns output to potential unless capacity changes.

Counterargument and conditions. Wage rigidity, time horizon and confidence determine whether automatic recovery is plausible.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 45

Medium | SL/HL | 25 marks

Topic 3.2: Model comparison

(a) [10] Using appropriate diagrams, explain how an AD decrease can create a recessionary gap in both schools of thought.

(b) [15] Using real-world examples, evaluate whether the duration of the gap can be predicted from AD alone.

Part (a) - Indicative answer and marking guidance

Essential concepts. Monetarist/new classical adjustment restores potential output with wage-price flexibility, whereas Keynesian analysis permits persistent demand shortfall.

Required reasoning. Both show output below potential; wage-price flexibility, confidence and institutional conditions shape persistence.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes model comparison from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Both show output below potential; wage-price flexibility, confidence and institutional conditions shape persistence.

Counterargument and conditions. Wage rigidity, time horizon and confidence determine whether automatic recovery is plausible.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 46

Easy | SL/HL | 25 marks

Topic 3.2: Model comparison

(a) [10] Explain why a simultaneous shift in AD and SRAS can make the change in real output uncertain.

(b) [15] Using real-world examples, discuss whether a rise in the price level identifies the dominant shock.

Part (a) - Indicative answer and marking guidance

Essential concepts. Monetarist/new classical adjustment restores potential output with wage-price flexibility, whereas Keynesian analysis permits persistent demand shortfall.

Required reasoning. AD right and SRAS left both raise prices but have opposing effects on output; relative size determines output.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes model comparison from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. AD right and SRAS left both raise prices but have opposing effects on output; relative size determines output.

Counterargument and conditions. Wage rigidity, time horizon and confidence determine whether automatic recovery is plausible.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 47

Hard | SL/HL | 25 marks

Topic 3.2: Model comparison

(a) [10] Explain why a rightward shift in both AD and LRAS can increase output without necessarily raising prices.

(b) [15] Using real-world examples, evaluate whether capacity expansion always prevents inflation during growth.

Part (a) - Indicative answer and marking guidance

Essential concepts. Monetarist/new classical adjustment restores potential output with wage-price flexibility, whereas Keynesian analysis permits persistent demand shortfall.

Required reasoning. Greater productive capacity offsets some demand pressure; timing and magnitudes of shifts matter.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes model comparison from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Greater productive capacity offsets some demand pressure; timing and magnitudes of shifts matter.

Counterargument and conditions. Wage rigidity, time horizon and confidence determine whether automatic recovery is plausible.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 48

Medium | SL/HL | 25 marks

Topic 3.2: Model comparison

(a) [10] Using AD/AS diagrams, explain why the same AD increase can have different results in two economies.

(b) [15] Using real-world examples, discuss whether identical demand policies should be expected to produce identical growth.

Part (a) - Indicative answer and marking guidance

Essential concepts. Monetarist/new classical adjustment restores potential output with wage-price flexibility, whereas Keynesian analysis permits persistent demand shortfall.

Required reasoning. Different spare capacity and AS shapes create distinct output-price responses.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes model comparison from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Different spare capacity and AS shapes create distinct output-price responses.

Counterargument and conditions. Wage rigidity, time horizon and confidence determine whether automatic recovery is plausible.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 49

Hard | SL/HL | 25 marks

Topic 3.2: Model comparison

(a) [10] Explain how a leftward SRAS shift and a rightward LRAS shift can occur at different times.

(b) [15] Using real-world examples, evaluate whether a temporary cost shock necessarily harms long-run productive potential.

Part (a) - Indicative answer and marking guidance

Essential concepts. Monetarist/new classical adjustment restores potential output with wage-price flexibility, whereas Keynesian analysis permits persistent demand shortfall.

Required reasoning. Current input costs may worsen while long-run technology improves; short and long horizons must be distinguished.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes model comparison from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Current input costs may worsen while long-run technology improves; short and long horizons must be distinguished.

Counterargument and conditions. Wage rigidity, time horizon and confidence determine whether automatic recovery is plausible.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 50

Medium | SL/HL | 25 marks

Topic 3.2: Model comparison

(a) [10] Using AD/AS diagrams, explain how a recessionary gap differs from an inflationary gap.

(b) [15] Using real-world examples, discuss whether measured output alone is enough to identify an output gap.

Part (a) - Indicative answer and marking guidance

Essential concepts. Monetarist/new classical adjustment restores potential output with wage-price flexibility, whereas Keynesian analysis permits persistent demand shortfall.

Required reasoning. Compare actual with potential output rather than the output level alone; estimating potential is uncertain.

Expected diagram or calculation. Price level vertically and real output horizontally. Show relevant AD, SRAS and either vertical LRAS or Keynesian AS as required by the question; mark initial and final equilibrium, potential output if discussing a gap, the correct shift and the resulting changes in output and price level.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes model comparison from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Compare actual with potential output rather than the output level alone; estimating potential is uncertain.

Counterargument and conditions. Wage rigidity, time horizon and confidence determine whether automatic recovery is plausible.

Application and real-world example. For a cost shock, the IMF describes Europe’s 2022 energy-price pressure alongside weak growth; compare this with an AD shock rather than assuming every inflation episode has the same cause. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Sources and scope

The current IB Economics guide controls syllabus boundaries. The uploaded Economics for the IB Diploma, second edition (2012), is a supplementary conceptual check; its older chapter sequence and content cannot expand the current specification. Real-world examples are optional and should be checked against their cited sources.

IB guide. Economics guide, first assessment 2022, Unit 3 Topic 3.2; current syllabus scope and level boundaries.

Open source

IMF. World Economic Outlook output, inflation and unemployment series for country application.

Open source

IMF Europe. 2022 European energy shock.

Open source

Final checks

50 paired questions; 10 Easy, 25 Medium, 15 Hard; All 50 questions cover SL and HL content. The student paper contains no answers or difficulty labels.